

ClarityFi

Product Requirements Document

Version 1.0 · June 2026 · Personal Finance / FinTech

Product	ClarityFi	Category: Personal Finance / FinTech
Version	1.0 — Stakeholder Ready	Launch Target: Tier-1 Cities (Bengaluru, Pune pilot)
Addressable Market	350 M+ monthly UPI users (India)	Document Status: Draft — PM Project Document

North Star Metric

Monthly Active Users who act on a financial insight.

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Executive Summary

ClarityFi is a personal finance clarity platform built for everyday consumers who generate abundant financial data but lack actionable insight. The product unifies three high-impact capabilities into a single, frictionless experience: automated spend intelligence, smart shared expense management, and financial decision support.

India has over 350 million monthly UPI users. Despite dozens of monthly transactions, most users cannot easily determine where their money goes, whether they are overspending on specific categories, or whether financial products like EMI and insurance plans are good value. Existing apps address only fragments of this problem.

Mission

Help every user understand, manage, and act on their money with confidence — through simple, transparent financial intelligence.

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Market Opportunity

350M+

Monthly UPI Users

\$41Bn+

India Fintech Market

39%

YoY UPI Growth

Day 1

Customer Support

Consumers make dozens of transactions every month yet struggle to understand spending behaviour, manage shared expenses with friends, and evaluate financial products. Existing solutions address only fragments — none unifies spend visibility, splitting, and decision intelligence in one place.

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Problem Statement

Core Insight

Users are financially aware but financially blind. They know money leaves their accounts but cannot easily determine where it goes, whether they are overspending, or if financial decisions are optimal.

- Spending categorisation is manual or absent — users underestimate discretionary spend significantly
- Shared expense tracking is highly manual — resulting in awkward, delayed settlements
- Financial products (EMI, insurance) are perceived as confusing — users cannot evaluate true cost

- Existing apps require effort — users prefer automated, zero-input solutions

4 Product Vision & Goals

4.1 Vision

Help every user understand, manage, and act on their money with confidence through simple, transparent financial intelligence.

4.2 Product Goals

- Improve spending awareness — give users a clear picture of where money goes
- Reduce friction in shared expense management — automate splits and settlements
- Increase confidence in financial decisions — plain-language evaluations of EMLs and insurance
- Create recurring engagement — personalised, timely insights that bring users back

5 Success Metrics

Metric	Target	Timeframe
Monthly Active Users act on a financial insight	North Star	Ongoing
Users who identify a new spending pattern	> 60%	Month 1
Day-30 Retention	> 40%	Month 1 cohort
Day-90 Retention	> 25%	Month 3 cohort
Users who create a split group	> 35%	Month 2
Net Promoter Score (NPS)	> 40	Month 3

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User Personas



Riya
Overwhelmed
Earner

Goal: Understand where her salary goes each month

Pain: Spends without tracking; discovers overspend only at month-end

JTBD: *When I spend money every day, I want to know where it goes so I can make better decisions.*



Arjun
Reluctant Splitter

Goal: Settle shared expenses with friends without friction

Pain: Manually tracks group expenses in WhatsApp; settlements are awkward and delayed

JTBD: *When I share expenses, I want settlements to happen automatically so that awkward conversations are avoided.*



Meera
Confused Decision
Maker

Goal: Evaluate EMI and insurance offers confidently

Pain: Financial products feel opaque; hidden fees discovered too late

JTBD: *When I evaluate an EMI or insurance plan, I want plain-language explanations so I can choose confidently.*

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User Research Insights

- Users systematically underestimate discretionary spending — awareness alone triggers behaviour change
- Shared expense tracking is highly manual — WhatsApp messages, screenshots, and memory are the primary tools
- Financial products are perceived as confusing — EMI terms and insurance exclusions are poorly communicated
- Users prefer automated solutions over manual bookkeeping — any friction causes drop-off

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Product Scope — MVP Features

F1 Spend Clarity Dashboard

- SMS transaction parsing — automatically read and categorise bank/UPI SMS messages on-device

- Auto-categorisation — machine-learning-based classification across 12+ spend categories
- Trend analysis — week-on-week and month-on-month comparisons with visual breakdowns
- Weekly and monthly insight digests — plain-English summaries of spending behaviour

F2 Smart Expense Splitter

- Group creation — create named groups for trips, flatmates, events
- Equal and custom splits — flexible split ratios per expense
- Settlement optimisation — minimise the number of transactions needed to settle a group
- UPI payment initiation — one-tap UPI deep link to complete settlements in-app

F3 Financial Decision Explainer

- EMI evaluator — enter offer details; receive total cost of credit and effective interest rate
- Insurance evaluator — surface hidden exclusions and true annual premium
- Hidden fee detection — flag processing fees, foreclosure charges, and renewal hikes
- Recommendation engine — compare alternatives and highlight the most cost-effective option

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User Stories & Acceptance Criteria

User Story	Acceptance Criteria
As a user, I want to see categorised spending so I understand where my money goes.	Transactions categorised automatically with > 85% accuracy within 24 hours of SMS receipt.
As a user, I want to split expenses with friends so balances are calculated automatically.	System generates optimised settlement recommendations; supports equal and custom splits.
As a user, I want EMI offers explained clearly so I know the true cost.	System displays total repayment amount, effective interest rate, and all hidden charges.
As a user, I want weekly spending insights so I can adjust behaviour early.	Insight digest delivered every Sunday; includes top category, week-on-week delta.
As a user, I want to initiate UPI payment to settle a friend directly from the app.	One-tap UPI deep link pre-filled with correct amount and recipient.

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User Flows

Onboarding Flow

- App open → OTP sign-in → SMS permission request → Transaction processing → Dashboard

Spend Dashboard Flow

- Dashboard → Insight card tap → Category breakdown → Individual transaction detail

Split Group Flow

- Split tab → Create / open group → Add expense → Select split type → Settlement recommendation → UPI payment

Decision Tool Flow

- Decide tab → Select EMI or Insurance → Input offer details → View plain-language summary → Compare alternatives

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Information Architecture

Tab	Section	Sub-screens
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Home	Dashboard	Spend overview, category breakdown, transaction list
Home	Insights	Weekly digest, spending patterns, anomaly alerts
Split	Groups	Group list, create group, expense entry
Split	Settlements	Outstanding balances, optimised settlement, UPI initiation
Decide	EMI Evaluator	Offer input, cost breakdown, recommendation
Decide	Insurance Evaluator	Policy input, exclusion summary, comparison
Profile	Reports	Monthly PDF export, category history
Profile	Privacy & Settings	Data deletion, SMS permission management, notifications

12 Technical Architecture

Layer	Technology / Service
Frontend	React Native (iOS + Android)
Backend	Node.js + PostgreSQL
Authentication	Firebase OTP
Analytics	Mixpanel
Push Notifications	Firebase Cloud Messaging (FCM)
Payments	UPI Deep Links
SMS Parsing	On-device regex + ML classification (no cloud upload)

13 Data Privacy & Compliance

Privacy-First Architecture

All SMS parsing happens on-device. Raw transaction messages are never uploaded to ClarityFi servers.

- On-device SMS parsing — transaction data never leaves the device in raw form
- AES-256 encryption — all stored financial data encrypted at rest
- TLS 1.3 — all data in transit protected with latest transport security
- User-controlled data deletion — full account and data wipe available at any time
- No sale of transaction data — monetisation never relies on selling user financial information

14 Analytics & Event Tracking

Event	Trigger	Purpose
onboarding_complete	User reaches Dashboard first time	Activation funnel
sms_permission_accepted	User grants SMS access	Core feature unlock rate
dashboard_engaged	User views spend breakdown	Engagement quality
split_group_created	User creates first group	Feature adoption
settlement_completed	UPI payment initiated from app	Core value delivery
emi_evaluated	User submits EMI offer	Decide feature usage
insight_acted_on	User taps CTA on insight card	North Star proxy
weekly_active	User opens app in 7-day window	Retention signal

15 Competitive Analysis

Competitor	Strength	Weakness	ClarityFi Edge
Splitwise	Best-in-class group splitting	No spend intelligence or banking integration	Unified spend + split in one app
CRED	Premium UX, reward ecosystem	Limited financial visibility; invite-only	Open to all UPI users; actionable insights
Money View / Walnut	Transaction tracking	Limited decision support; dated UX	Decision Explainer + modern design

Differentiator

ClarityFi is the only app that unifies spending intelligence, shared expense management, and financial decision support in a single privacy-first experience.

16 Risks & Mitigations

Risk	Impact	Mitigation
SMS permission denial	Core feature unusable	Offer manual entry fallback; educate users on on-device privacy model

Low Day-30 retention	Product-market fit failure	Insight-driven re-engagement; personalised weekly digest notifications
SMS parsing failures / inaccuracies	Incorrect data; user distrust	Continuous regex and ML rule updates; user correction flow with one tap
Trust and privacy concerns	Acquisition drop-off	Privacy-first architecture; on-device parsing as headline feature in onboarding
Settlement accuracy disputes	Support burden; NPS drop	Transparent split audit trail; one-tap dispute flag per expense

17 Launch Strategy

Pilot Launch

- 200–500 users in Bengaluru and Pune — chosen for high UPI adoption and tech-savvy demographic
- Closed beta via referral to ensure quality feedback and engaged early adopters
- Day-1 customer support with defined response SLA to build trust immediately

Iteration Criteria

- Measure activation rate (SMS permission acceptance), Day-7 retention, and insight engagement
- Run weekly retrospectives on support tickets and drop-off points
- Iterate on parsing accuracy, insight quality, and split UX before wider city rollout

18 Product Roadmap

Phase 1	Phase 2	Phase 3	Phase 4
0–3 M <i>Foundation</i>	3–6 M <i>Intelligence</i>	6–12 M <i>Expansion</i>	12 M+ <i>Monetisation</i>
Dashboard + SMS Parsing + Expense Splitter	Decision Explainer + UPI Settlements	Account Aggregation + Family Finance	Premium Analytics & Revenue Streams

19 Open Questions

- What minimum parsing accuracy threshold is required before launch — 85%? 90%? What is the user-tolerance for errors?

- Should non-app users (friends without ClarityFi installed) be able to contribute expenses to shared groups?
- What monetisation model best preserves user trust — premium subscription, partner recommendations, or freemium?
- How will the app handle multiple bank accounts and wallets for the same user at launch vs. Phase 3?

20 Appendix

Key Assumptions

- Users have an Android or iOS device with SMS access enabled for at least one bank or payment app
- UPI is the primary payment method for the target segment; cash and card are secondary
- Pilot city users are comfortable with app-based financial tools

Glossary

Term	Definition
UPI	Unified Payments Interface — India's real-time payment system
SMS Parsing	Automated reading of bank transaction messages to extract amount, merchant, and category
Settlement Optimisation	Algorithm that minimises the number of transactions needed to clear all group debts
EMI Evaluator	Tool that calculates total repayment cost, effective interest rate, and hidden fees for a loan offer
Day-30 Retention	% of users who return to the app at least once in the 30-day window after first install
North Star Metric	Single most important measure of product value delivery — MAU who act on a financial insight